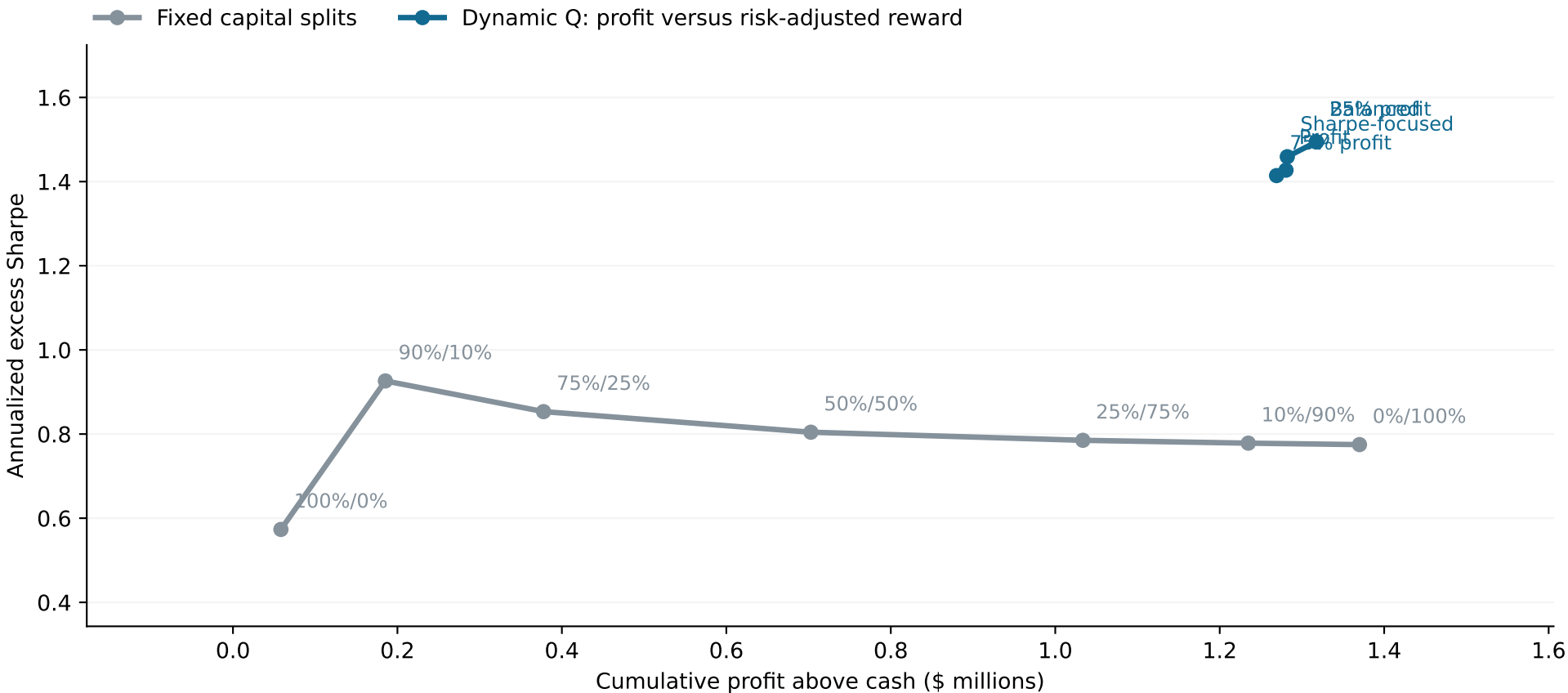
Rewarding profit versus risk-adjusted performance

2018–2021 validation · Same two best bandits · Discount 0.99



The reward endpoints target net dollar profit and net return per unit of forecast allocation risk. All five goals shown.

Risk forecast selected on validation: EWMA covariance, 63-session half-life. Same fixed mixes, budget, costs and next-close execution.

Forecast-risk normalization is a Sharpe surrogate; realized Sharpe and P&L are measured separately. Previously researched dates.